In Q3 of 2018-19, moderation was observed in nominal sales growth of manufacturing companies due to subdued demand conditions faced by textiles; iron and steel; motor vehicles and other transport equipments. On the positive side, the demand scenario improved for consumer driven sectors such as food products, beverages and pharmaceuticals. The capacity utilisation of India's manufacturing sector increased to 75.9% in Q3 of 2018-19 which is higher than Q3 of 2017-18.

74. Statement I: CORRECT—According to RBI, the growth in gross bank credit flow to the industrial sector has increased by 6.9% in March, 2019 compared to the increase of 0.7% in March, 2018. Credit flow to industries like chemicals and chemical products, cement and cement products, all engineering industries, construction, infrastructure, other industries increased in 2018-19 while a sharp decline was noticed in industries like textiles, petroleum, coal products and nuclear fuel, basic metal and metal products in 2018-19. Mining and quarrying, food processing, vehicles, vehicle parts and transport equipment registered lower growth rate in 2018-19.

    Statement II: CORRECT—The Government of India has taken several industry specific reform initiatives since 2014 that has significantly improved the overall business environment. To improve ease of doing business, the emphasis has been given to simplification and rationalisation of the existing rules and introduction of information technology to make governance more efficient and effective. As per the World Bank Doing Business (DB) Report released on 31 October 2018, India has considerably improved its ranking to 77th position among the 190 countries and has leapt 23 ranks over its previous rank of 100.

75. Statement I: CORRECT—Start-ups drive economic growth, create employment and foster a culture of innovation. In order to promote innovation and entrepreneurship among enterprising youth, the Hon'ble Prime Minister of India had announced the "Start-up India, Standup India" initiative on 15 August 2015. The initiative aims to create an ecosystem that is conducive for the growth of Start-ups.